Big Mountain Recommendations

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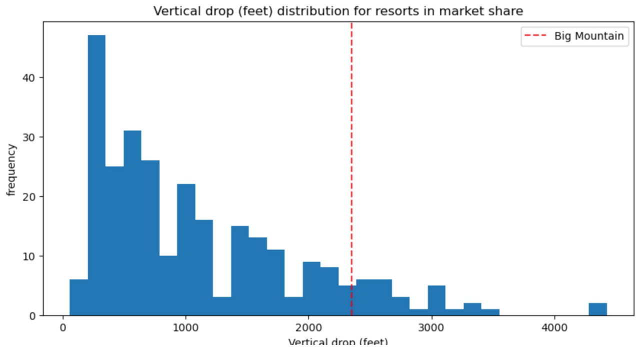
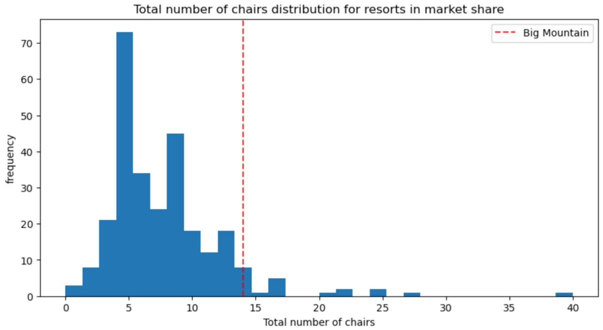
Problem Statement

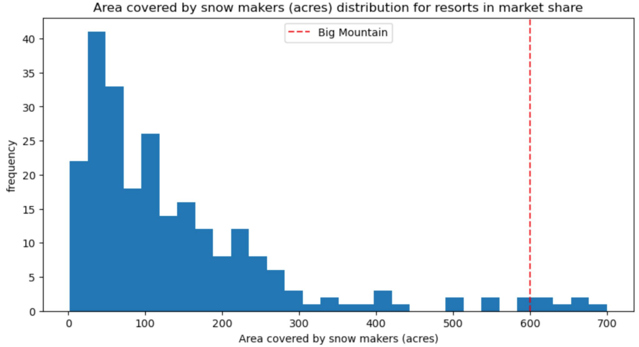
Big Mountain Resort must determine whether it’s current premium ticket pricing aligns with the value of its facilities by analyzing data from comparable ski resorts to identify key drivers of pacing. The goal is to develop a data-driven pricing strategy that optimizes revenue and offsets increased operating costs from the new chair while remaining competitive within its market segment

Findings With Regards to Other Resorts

- Big Mountain does well w/ current vertical drop, total number of chairs and snow making distribution
- Big Mountain compares well for number of runs





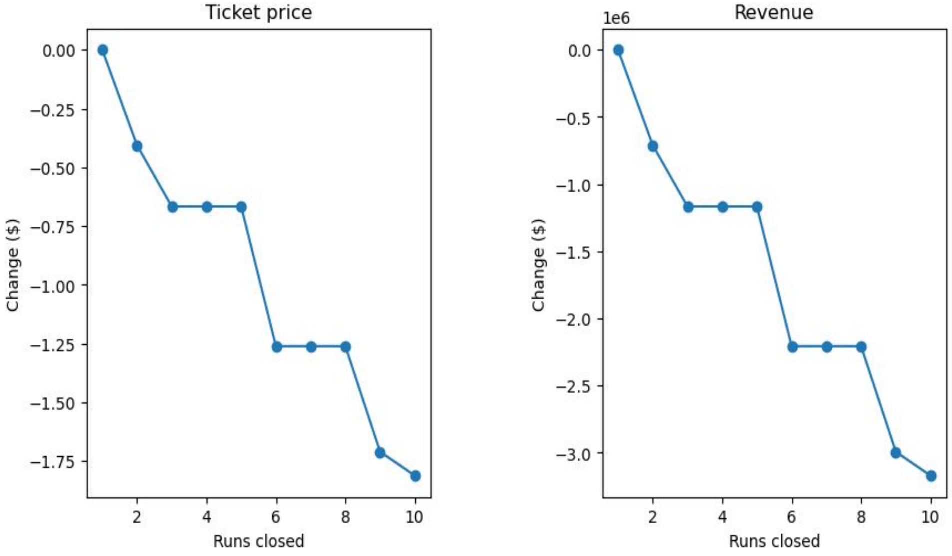


Recommendations for Ticket Price

- Current ticket price is $81
- Our model suggests the ticket price could be ~$95.87
- There's a MAE of ~$10
- Even with the expected MAE, **there is room for an increase**
- Validity of our model lies in assumption other resorts accurately set their prices according to what the market supports

Closing Runs

- Closing 1 run has little to no impact on ticket price
- Closing 2-3 runs reduces support for ticket price and revenue
- Closing 4-5 runs has same loss as closing 3 runs
- Closing 6+ runs leads to more drastic drops



Suggested Scenarios and their Viability

Scenario 1 - Close runs

- Viable option
- Use staged/pilot-based implementation strategies to close runs if you reduce operational costs that way
- Only scale if no material negative impact
- Don’t close more than 5 rusn

Scenario 2 - Add 1 run w/ +150ft drop, add chair

- Recommended action
- Increases support for ticket price by $1.99
- Has measurable uplift

Scenario 3 - Same as 2 w/ +2 acres of snow

- Not recommended
- No notable differences compared to Scenario 2’s outcome
- Just spending unnecessary money

Scenario 4 - +0.2 miles to longest run, +4 acres of snow

- Not recommended
- No measurable uplift on price

Summary and Conclusion

- Have room to increase ticket price to ~$95.87, gain additional research before combining modeled results
- Can close up to 5 runs if need to reduce operational costs that way, no more
- Recommended to add an additional run with an extra 150 foot drop and an extra chair
- Big Mountain should prioritize additional data collection initiative sto improve future modeling accuracy and support stronger operational decision-making